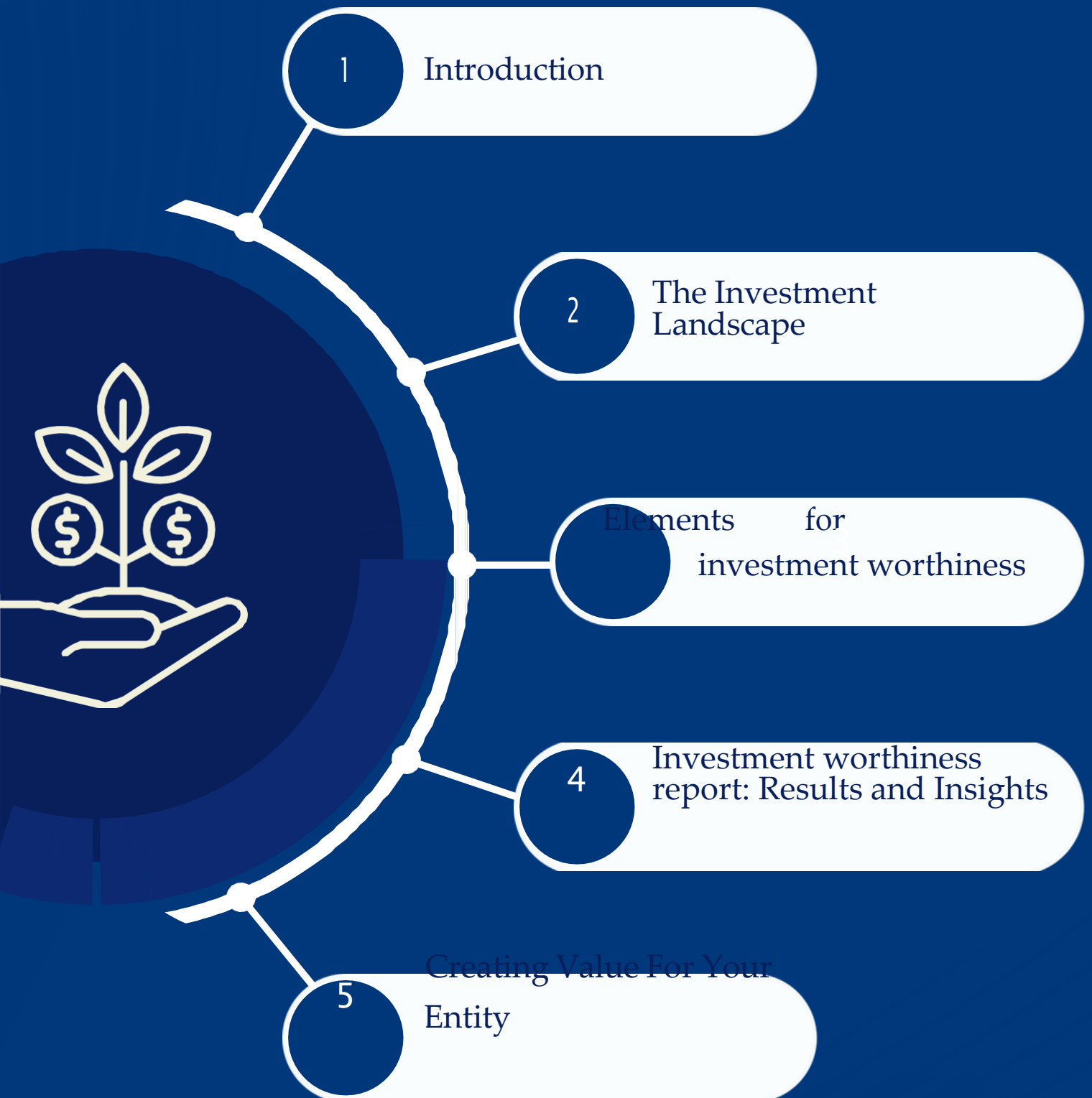


MENTOR BI

INVESTMENT WORTHINESS REPORT



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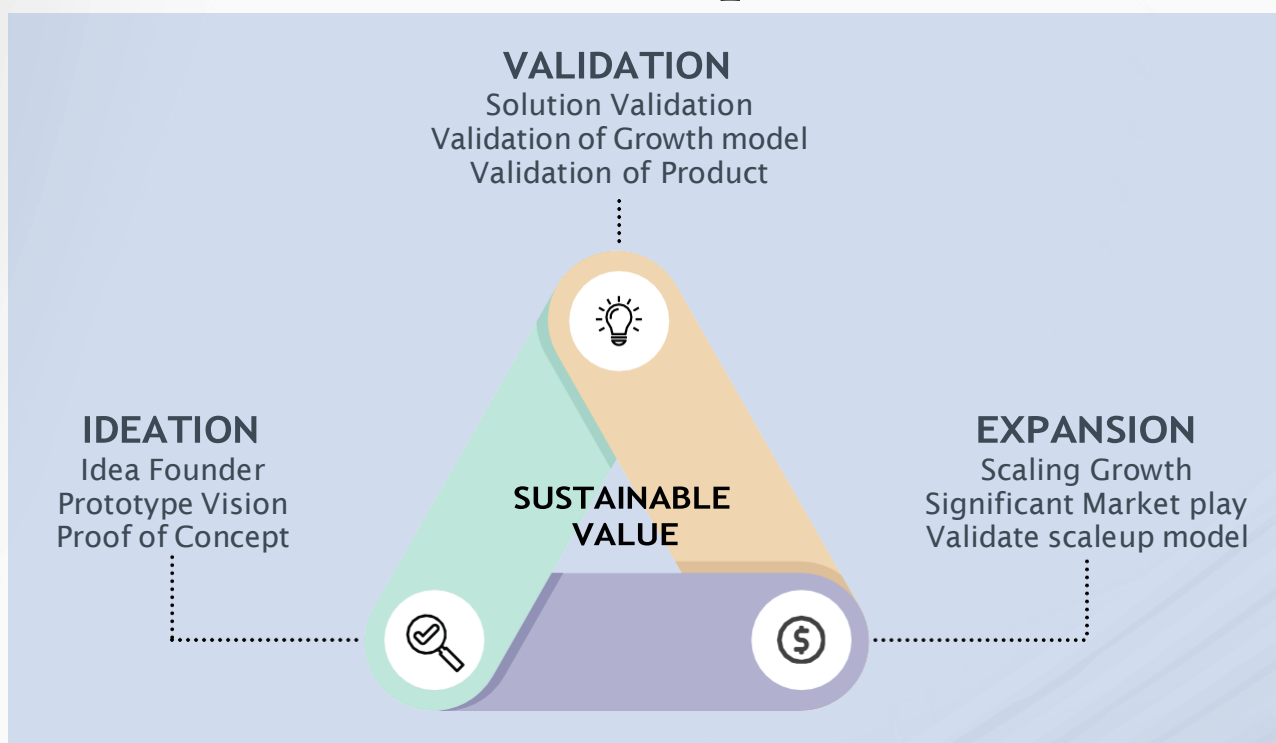
Introduction

An investment worthiness report is a comprehensive **evaluation of your business idea's** strength and your determination to generate wealth based on your perspective. It encompasses an analysis of your business **concept's viability, potential profitability, and alignment with your wealth creation goals**. This report delves into various aspects such as financial projections, revenue forecasts, market dynamics, and industry trends relevant to your venture. Additionally, it scrutinises factors like the **competence of your management team, any legal or regulatory challenges**, and external influences that could affect your business's success. Ultimately, this report aids you in making **informed decisions** regarding the feasibility and potential return on investment of your business endeavour.

There are typically **7 parameters** that impact the investment worthiness of any business. The evolution of those parameters helps determine the type of investors who will find the **entity** worthy of investing. This **diagnostic** is meant to **assess** the stage of evolution of the **business today** & the desired stage of evolution **2 & 5 years** from today, and thereby arrive at the investment worthiness of the business for the type of investors **today & 2 years** from now. This is a **self-reflection tool** and intends to give insights to the respondent. Thus the quality of the diagnostic outcome will be determined by the extent of honesty in the self-reflection of the respondent.

This investment worthiness diagnostic **reflects your personal evaluation** of key elements and where you aim to focus your efforts as you advance in your entrepreneurial journey. At each **stage of your business development**, **different forms of capital become relevant**, and understanding your business's progression assists in identifying the appropriate investment type. This assessment delves into aspects such as your **leadership team's vision**, the **uniqueness of your value proposition**, the **strength of your product or service**, your **market presence**, and the **scalability of your business model**. Evaluating these elements helps gauge your business's potential for growth and market expansion. Ultimately, this assessment aids in aligning your investment needs with your business's stage of development, guiding you towards securing the most suitable investment to fuel your business's growth trajectory.

Investment Landscape

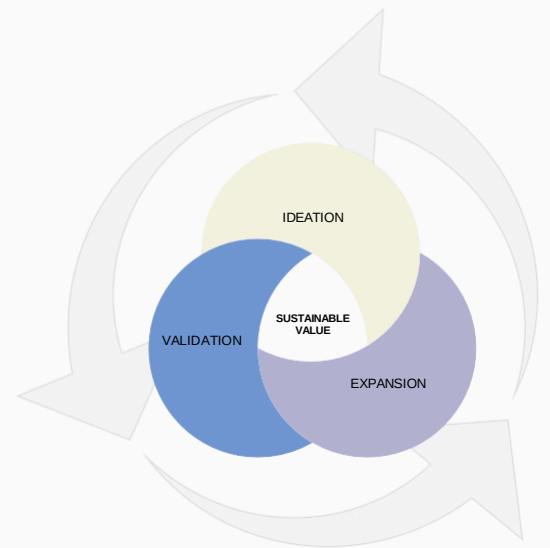


Investment Landscape

The spectrum of the 10 stages of a startup can be divided into 3 phases.

Ideation Phase

In a startup's journey, the ideation phase marks the inception of the entrepreneurial process, where the focus lies on gaining clarity and direction for potential investment opportunities. This initial stage involves the Idea Founder, who conceptualizes the business idea, the Prototype Vision, where the idea takes shape into a tangible concept, and the Proof of Concept/Incubation stage, where the feasibility and viability of the idea are tested. During this phase, entrepreneurs meticulously assess and refine their business concept, identifying key market needs, developing innovative solutions, and crafting a compelling value proposition. It's a crucial period characterized by exploration, experimentation, and validation of ideas to lay a solid foundation for future growth and investment.



Validation Phase

In a startup's journey, the validation phase is pivotal for assessing the potential of identified investment opportunities. This stage encompasses Solution Validation, Validation of Growth Model, and Validation of Product/Market Fit. Here, entrepreneurs rigorously evaluate the viability of their ideas, ensuring they align with market needs and possess scalability. It's a critical period of determining whether pursuing these opportunities is worthwhile, setting the stage for sustainable growth and attracting investment.

Expansion Phase

In a startup's evolution, the expansion phase signifies execution. Once a company has validated and scaled its business model, it seeks growth by entering new markets or introducing new products/services. This stage encompasses validating the scale-up model, making significant market plays, and scaling growth. It's about capitalizing on success to propel the business forward and seize new opportunities for expansion.

Elements of investment worthiness

Nine out of ten startups will fail. This is a hard and bleak truth. Over 305 million startups are created every year around the globe, and the majority of them don't last long.

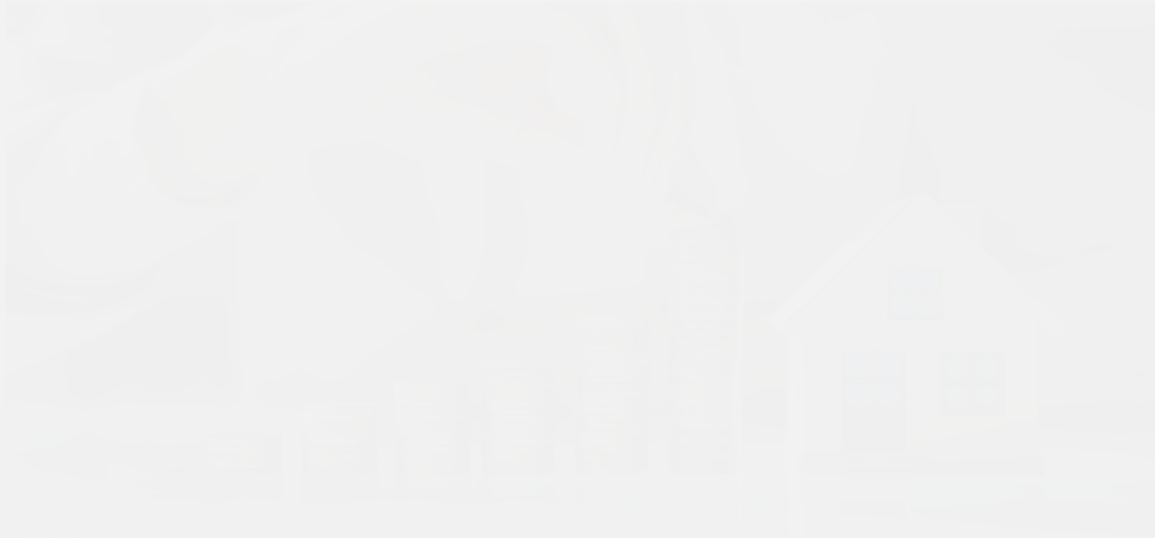
- 9 out of 10 startups fail
- 38% of startups fail because they run out of cash
- 35% of startups fail because there is no market need for them
- By year 5, 50% of all startups will have failed
- 81% of startup owners are okay going into debt for their business
- 60% of startups fail between the pre-seed and Series A funding stages
- Approximately 35% of Series A startups fail before they reach Series B
- Roughly 80% of tech and e-commerce startups will fail
- 25-30% of VC-backed startups still fail despite extra funding
- Almost all startup "unicorns," 99.9%, will fail

There are seven factors that influence a company's investment worthiness. The evolution of those factors influences the sort of investors who will consider the entity worthy of investment.

To navigate the perilous path of startup failure, it's crucial to adopt a strategic approach tailored to each stage of development. In the ideation phase, clarity is paramount. Startups must hone their vision, define their market niche, and solidify their value proposition to lay a robust foundation. As they progress to the validation stage, alignment becomes key. Ensuring that all efforts are synchronized with the overarching vision and market needs is imperative for sustainable growth. Finally, in the expansion phase, execution reigns supreme. Startups must flawlessly execute their growth strategies, leveraging validated models and aligned resources to capitalize on emerging opportunities.

This investment worthiness report serves as a compass, guiding stakeholders to analyze the startup's current stage and assess its investment potential. By identifying the startup's developmental phase, stakeholders can determine the appropriate funding sources and strategic partnerships needed to fuel its growth trajectory. Whether it's seed funding, venture capital, or strategic alliances, the insights gleaned from this report will inform decision-making and pave the way for successful investment.

Value Dynamics : Results & Insights



This detailed result of each stage or phase is typically an analysis of a company's financial performance, industry trends, and management team. It is recommended that you discuss the diagnostic results in your core/ response group to validate these results and determine the way forward.

This gives you a picture of all kinds of factors and aspects that can be considered for a company's revenue growth, profit margins, return on investment, debt levels, liquidity, financial performance, future growth prospects and overall investment potential.

Ideation Phase

The ideation phase in an investment worthiness report is the initial stage of the investment process where potential investment ideas are generated. The insights from this phase can include identifying potential industry trends, identifying companies that may be undervalued or overlooked by the market, and identifying companies with strong management teams.



Value Dynamics : Results & Insights

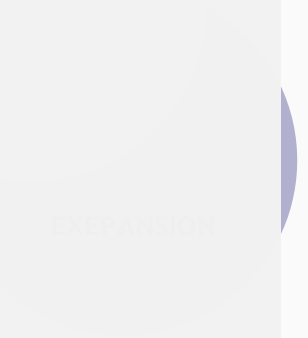
Validation Phase

The validation phase in an investment worthiness report is the stage where the investment ideas generated in the ideation phase are further analyzed and evaluated. The insights from this phase can include a more detailed analysis of a company's financial performance, industry trends, and management team. The goal of this phase is to determine which of the initial investment ideas have the most potential and are most likely to generate returns for investors.



Expansion Phase

The expansion phase in an investment worthiness report is the final stage of the investment process where the decision to invest in a particular company is made and the investment is executed. The insights from this phase can include a summary of the company's financial performance, industry trends, and management team, as well as a detailed investment thesis outlining the reasons for investing in the company.



Sustainable value

The insights from the sustainable value analysis can inform investment decisions by providing information on a company's long-term potential and the potential risks and opportunities associated with its ESG performance. It can also help to identify companies that are leading in sustainable practices and those that are lagging behind, which can be considered as an investment opportunity or a risk.

Value Dynamics : Funding Stages

Stages of Evolution of business on all parameters	Startup growth scale
Stage 1 & Stage 2	Ideation and Proof of Concept
Stage 2 & Stage 3	
Stage 4 & Stage 5	
Stage 6	Build and Growth
Stage 7	
Stage 8	
Stage 9	Scale and Exit
Stage 10	
Stage 11	

Current scenario of the company

Stages of Org evolution on each Parameter	Parameters							Funding Option
	1	2	3	4	5	6	7	
Stage 10								Funding by acquirers
Stage 9								Close Institutional VC funding for recurring revenue & growth
Stage 8								Close Institutional VC funding for 1st level of sales expansion
Stage 7								Close round funding with Angel & early VC
Stage 6								Angel/Seed Funding
Stage 5								Grants for R&D/development
Stage 4								Grants for R&D/development
Stage 3								Funding from friends & family
Stage 2								Own Funding/ Funding from friends & family
Stage 1								Own funding



Ideaation



Validation



Expansion

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Best Funding Option

To suggest the best funding option based on the statements you choose, you will need to consider the current stage of development of each parameter, as well as the target stage of development for each parameter two years from now.

Based on the statements you choose, you can determine the overall level of development and growth potential of the company. This information can then be used to determine the appropriate stage of funding. For example, if the company has a strong senior leadership team and a clear business vision, but is still in the early stages of developing its product/offering, it may be best to secure Angel/Seed Funding or Grants for R&D/Development to support the early stages of growth.

On the other hand, if the company has a well-developed product/offering, a strong market presence, and demonstrated sales capabilities, it may be appropriate to seek Close Institutional VC funding for recurring revenue & growth or Close Institutional VC funding for 1st level of sales expansion to support the next stage of growth.

It is important to remember that the best funding option will depend on the specific needs and goals of the company, as well as the market conditions and available funding options at the time. The self-evaluation tool can be used as a guide to determine the best funding option, but ultimately the decision should be based on a comprehensive understanding of the company's financial needs and growth potential.



Creating Value For Your Entity

To create value for the entity refers to the process of identifying and assessing investment opportunities that are likely to generate returns for the entity, such as a company or a fund. The goal is to identify investments that will generate the highest returns while also managing risk. Leverage the collective ideas and wisdom of the group to determine the priority areas and act on the areas that will impact the entity positively.

The insights from the analysis can be used to create a portfolio of investments that will generate the highest returns for the entity while also managing risk. This can involve diversifying the company's portfolio across different industries and geographies and selecting investments with different risk profiles to balance potential returns against potential risks.

Ultimately, the frameworks and the stages used in the report would help creating value for the entity as it will help in identifying and assessing potential investments, and making decisions on which investments to pursue based on the entity's investment objectives, risk tolerance, and the analysis of the potential investments.

THANK YOU



Value Dynamics : Funding Stages



The funding stage refers to the current state of development and financial stability of a company. It is used to determine the potential of the company to generate returns for investors.

There are different funding options available. It is important to understand the sources of funding you are looking for.

